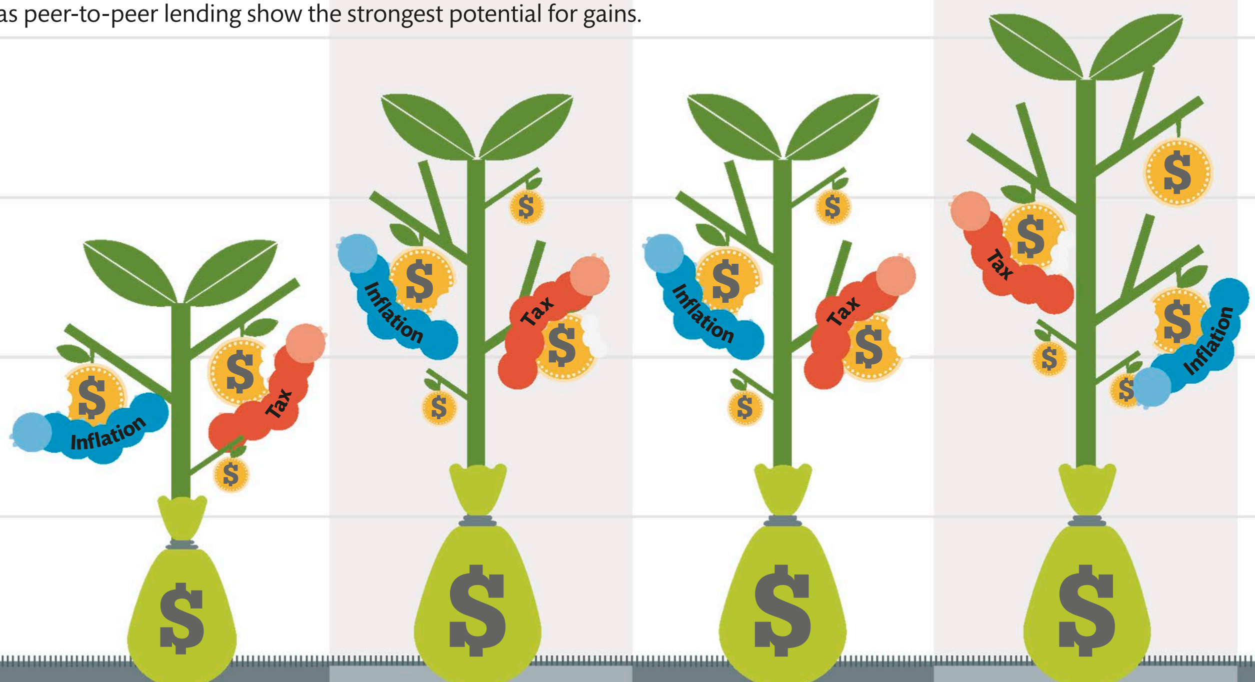
Earning income from savings

Putting money into savings accounts and fixed-term deposits is low-risk, making them safer options for wary investors. But investors also need to consider if their money is likely to "earn" enough income to live on.

Which savings or deposit account?

All investment products offer a trade-off between risk and return, and savings or deposit accounts are no exception. As a rule, such investments carry the least risk, but the downside is that they may not provide a very good return; the products with the best return tend to be the most risky. New products such as peer-to-peer lending show the strongest potential for gains.



INSTANT ACCESS SAVINGS ACCOUNTS

- Low return, low risk
- No minimum investment
- Cash can be withdrawn on demand

NOTICE SAVINGS ACCOUNTS

- Low to medium return, low risk
- May require minimum deposit
- Cash withdrawals must be arranged in advance

MINIMUM MONTHLY DEPOSIT ACCOUNTS

- Low to medium return, low risk
- Higher interest rates, but with restrictions
- Significant deposit needed to earn decent income

CERTIFICATES OF DEPOSIT

- Low to medium return, low risk
- Fixed interest rate
- Cash not instantly accessible as held for fixed term (from one month to five years)